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Zoetis, Inc. (ZTS)

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CORPORATE PARTICIPANTS

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OTHER PARTICIPANTS

Chris Schott

Analyst, JPMorgan Securities LLC

MANAGEMENT DISCUSSION SECTION

Chris Schott

Analyst, JPMorgan Securities LLC

Okay. Great. So we're ready to kick off the Zoetis' breakout session here. I guess I'll just open with a few questions and we'll bring it out to the audience to follow-up from there.

QUESTION AND ANSWER SECTION

Chris Schott

Analyst, JPMorgan Securities LLC

Q

I guess my first question was kind of a bigger picture R&D productivity, R&D approach question. I guess when I look at the industry or your – the last few years, we've had Apoquel, Cytopoint, Trio. We've got the pain portfolio. It seems like on the companion side of the business, you've delivered kind of blockbuster after blockbuster and seemingly are just pulling away from peers. What do you think has enabled that ability to deliver these products? Is this something just been a streak of good luck or is there – you think there's something systematic about the way you're approaching R&D and product development that's enabling that performance?

Kristin C. Peck

Chief Executive Officer, Zoetis, Inc.

A

Yeah. This is Kristin Peck. I think it is a systematic approach. I don't think it's just luck. I think we have a very strong organization but I think as Juan Ramón has talked about many times before, it's about the interconnected capabilities. It's about having the right insights from our commercial group as to what customers need, creating really strong product profiles, and then an incredibly strong organization developing products to meet those product profiles and partnering with manufacturing and supply early to make sure we can bring those products to market and scale them. And I think it's been clearly the innovation, but so much of that is the partnership across those three groups, across the company to bring those to life.

Chris Schott

Analyst, JPMorgan Securities LLC

Q

And do you see that's something that your competitors struggle with or is this something you've kind of led the charge? [ph] As it finishes, like, (00:01:30) do you think it's a sustainable competitive advantage or could we see some of your peers catch up in terms of that approach?

Kristin C. Peck

Chief Executive Officer, Zoetis, Inc.

A

I do believe it's a sustainable competitive advantage. I mean, we've done it consistently over the last seven years. As the chart I was showing earlier, with the market growing to 4% to 6%, we've continued to grow at around 8% every year. And the incremental difference really is innovation and it's been different products in different therapeutic areas. So I don't think it's just one space.

We had lots of innovation in livestock in our first few years. It's definitely been years of a lot more innovation in the last few years in our companion animal portfolio, but we remain confident that livestock will have continued innovation and there may be a little few years where it's not been where we want it to be, but we're very confident based on our investments that it will continue to the same 4% to 6% growth in the medium to long term.

Chris Schott

Analyst, JPMorgan Securities LLC

Q

Okay. And actually, just a follow up on that, some of the questions I've been getting is this dynamic of when can we see 4% to 6% growth for the livestock space. So, can you just elaborate a little bit what do you think needs to happen to get the market back to that type of growth?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

Yeah. This is Glenn David. So, to get the market back to that kind of growth, we need to see similar innovation in livestock that we've seen in companion animal. So, as we look to the next couple of years, where we still see a gap in innovation, we'll probably see slower growth in livestock than we'll see in the overall companion animal business. But when we start to look two to five years down the road, knowing some of the innovation that we intend to bring to the market as well as with some competition, we do expect livestock to grow.

Chris Schott

Analyst, JPMorgan Securities LLC

Okay. Great. And that growth is at an industry level or is that more Zoetis level do you think?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

Probably a little bit of both.

Chris Schott

Analyst, JPMorgan Securities LLC

Okay.

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

But, the industry, we expect to accelerate and grow. Again, there are cycles of innovation. We've seen a strong cycle of innovation in companion animal. We expect to see that in livestock as well.

Chris Schott

Analyst, JPMorgan Securities LLC

Okay. And another one, just to jump around a little bit, one of your targeted goals was to deliver bottom line growth above top line. Should we consider that a goal as kind of each and every year that we should expect that or when we go through an investment cycle or launch cycle like we're seeing next few years, could we see that moderate a bit in that window?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

Yeah. So it is a goal that we see over time. We've been very fortunate in our history that we've been able to deliver income growth every year faster than revenue. We wouldn't see that changing in 2020...

Chris Schott

Analyst, JPMorgan Securities LLC

Okay.

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

...either, but it is a goal that we have over time. So, as we look into 2020 with a lot of the innovation that we expect to bring to the marketplace, we would expect another strong year of revenue growth. From a cost of goods

perspective, we do have some challenges with foreign exchange. We had very favorable foreign exchange in 2019 that won't repeat into 2020, and it's also another year of investment as you referenced, right? We need to make sure that we appropriately support Simparica Trio, that we prepare the market for the monoclonal antibodies for pain that we expect to come to the market in 2021, and also the investments that we have in reference labs.

Chris Schott

Analyst, JPMorgan Securities LLC

Yeah.

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

Some of those investments will be dilutive to our overall earnings. But even with all those investments that we make, we would expect 2020 to still grow income faster than revenue.

Chris Schott

Analyst, JPMorgan Securities LLC

Okay. Great. Why don't I open it up – there's a lot of different topics we can go into, but why don't I open it up to the audience here to see what's out there.

[indiscernible] (00:04:28-00:04:49).

Kristin C. Peck

Chief Executive Officer, Zoetis, Inc.

Sure. So I'll repeat the question for those in the webcast. He's asking specifically, as you look at the growth opportunities in the companion animal space, where do we see the greatest opportunities. I would say the greatest opportunity by far is getting our fair share of parasiticides. Parasiticides globally is a \$4 billion market with about \$2.5 billion in the US and about \$1.5 billion outside the US. And we've been under-represented historically in that space. We were third to market with Simparica. We've been very excited at the innovation we've already delivered in 2019 with the launch of ProHeart 12 in the US, with the launch of Revolution Plus, which was a lifecycle innovation, but a really significant one in moving customers to that innovation.

We're very excited as we look into 2020 for the launch of Simparica Trio in EU in Q1. And as we've recently mentioned, we just recently completed the technical section of the Simparica Trio package for the US and are currently in the administrative review, and we do expect and more and more confident in approval in Q1 into launch shortly thereafter. And that being the single largest space in companion animal is a major opportunity for us. But, as we look beyond that, we continue to believe growth in diagnostics, really building and accelerating globally, our Zoetis diagnostics portfolio, expanding that portfolio into a reference lab. Diagnostics is a very attractive space. It's growing at 10% whereas the traditional markets we used to be in were only 4% to 6%. So meeting or beating that market growth means significant growth overall in our companion animal.

And then as we look at the innovations that we've spoken about around monoclonal antibodies for osteoarthritis in both dogs and cats, there's opportunities there. But I think we talk a lot about these blockbuster big opportunities. If you look at our core portfolio, it's lots of lifecycle innovations. So as I talked about before looking at formulations,

additional indications, expanding into two markets. I think we've got a lot of drivers of really driving the core portfolio as well as launching new products, and the largest of which continues to be growing in parasiticides.

Q

You nicely explained the drivers for your business, but how do you factor in [indiscernible] (00:07:08) accelerating trend, less protein consumptions, also in the context of the whole climate change [indiscernible] (00:07:11)?

Kristin C. Peck*Chief Executive Officer, Zoetis, Inc.*

A

Sure. It's a very hot topic. And as you look at lab-based meats and alternative proteins, it's growing very quickly. I think what's important to understand is that global animal based protein consumption continues to grow at 1% to 2% and that's being driven by a growing middle class in emerging markets as well as just total population growth, growing from 7.7 billion people to 9.7 billion people. There's a growing need. And what we're committed to is partnering with vets and producers to really develop more sustainable ways of raising animal based proteins. And I think those exciting opportunities both with precision livestock farming, which is individual animal care to make sure we're using fewer resources and the right resources, as well as developing new alternatives to antibiotics. So, it's a strong focus for Zoetis overall. And I think, overall, the reality is animal-based protein continues to grow even with the growth in alternative proteins.

Q

On livestock side, is there something like generic Rumensin be interesting for Zoetis?

Glenn C. David*Chief Financial Officer & Executive Vice President, Zoetis, Inc.*

A

Yeah. So the question was on the livestock side, would something like generic Rumensin be interesting to Zoetis. So, as we look at the overall livestock portfolio, there are many areas that we're focused on. Our focus is on bringing innovation into the market, but to the extent that there is a significant opportunity similar to what we did with ractopamine in the past in coming up with a generic, it was something that we would consider, but our real focus is on innovation.

Q

So, also in the livestock portfolio, you have a biodevice for in ovo vaccine injection and I think you talked about potentially making the vaccines as well for that indication. Can you talk a bit about the size of that market and the timeline that you're thinking you could potentially bring your own vaccines to the market there?

Kristin C. Peck*Chief Executive Officer, Zoetis, Inc.*

A

Sure. So the question for those in the webcast was with regards to, in poultry, we have a leading position in biodevices and whether we – when do we think we'll have enough vector vaccines to put to those biodevices and grow that. So, we are excited, as I mentioned in the general session, about the launch of PROCERTA HVT-ND, and then to build on that. So that is a single – we're looking to grow that portfolio of vectors, both the number of them as well as the geographies.

In the US, we have a significant share in the biodevices, but we haven't had a share of the vaccines that went through them. So we do see significant opportunities to expand the number of biodevices globally outside the US as well as, as we do that put, our own vaccines through there. So I think you'll see a regular cadence of launches here over the next few years and building that portfolio. Poultry we've been growing quite well as you've probably seen. It's one of our fastest growing livestock species and we've done incredibly well in the US and it continues to grow above market. [indiscernible] (00:10:15).

Chris Schott

Analyst, JPMorgan Securities LLC

Can I just ask about Trio, just the timing of the launch, say kind of later Q1. What are the implications of, I guess, launching a little bit later in the season as you think about hitting the ground running and being able to share quickly given the head start you have to market?

Kristin C. Peck

Chief Executive Officer, Zoetis, Inc.

Sure. You heard the question. So, the focus for Trio is, we'll be launching at the end of Q1. The main season for parasitocides in the US or in the northern hemisphere is really Q2 and Q3. So our focus is hitting the ground running as quickly as we can. As many people know in the US, the big conferences are VMX and Western where we will not have the product. We're not expecting the product approved before those. But our customers are well aware that this product is coming. There's a lot of excitement about the opportunity for a triple combination product and that's a game changer.

So, I think our customers are just waiting for that and for us to get it in the market. So we'll be working. We expanded our field force in the US last year to be ready to launch. That's both field-based physical touch points as well as inside sales and digital. We'll also be increasingly investing in direct to consumer advertising to make sure that pet owners are aware of the significant innovation and go to their vet clinics asking for the innovation as well. So we look to accelerate through Q2 and Q3. And given the timing, that is why we provided the guidance of \$150 million to give people a sense of what we were expecting based on the timing of that launch.

Chris Schott

Analyst, JPMorgan Securities LLC

Great.

A micro question. You mentioned in the presentation the impact of African swine fever in China. [indiscernible] (00:11:56-00:12:01).

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

Yeah. So the question was around the impact of African swine fever and if we see that as a long term issue or more of a short term issue. So, for 2019, to Zoetis, we saw the impact of African swine fever, had revenue of about \$50 million. We expect that to neutralize as we move into 2020, so we don't expect a negative impact from African swine fever in 2020.

What we do anticipate over time that, within China, we'll continue to see the herd rebuild and probably to more larger producers that are bigger users of our product, so that should be a benefit over time. We also anticipate that other protein sources will need to make up for the lack of pork that will be available in China in 2020. In 2019, a lot of demand was fulfilled by frozen meat, but that is being used up. So, really, now is going to need to go to other protein sources, and because of the diverse nature of our business, we're able to fulfill those needs.

Chris Schott*Analyst, JPMorgan Securities LLC*

Can I just ask on price within the portfolio? How big of a factor do you see price playing over time? You mentioned some of those protein kind of dynamics and – how should we think about that?

Glenn C. David*Chief Financial Officer & Executive Vice President, Zoetis, Inc.*

Yeah. So we've typically historically seen a 2% to 3% price increase, anywhere ranging from 2% to 3% over time. We don't see that changing as we look to the short term, in the medium or long term. So we expect to continue to be able to generate 2% to 3% price.

Chris Schott*Analyst, JPMorgan Securities LLC*

Okay. And coming back to Trio, what does your data suggest in terms of the kind of under-treatment or the utilization of parasitocides within pets and how big of an opportunity is that in terms of market expansion as we think about a single offering like we're going to have?

Kristin C. Peck*Chief Executive Officer, Zoetis, Inc.*

Sure. We think it's a significant opportunity. As you look at what the current compliance is on flea and tick, it's four to six months and maybe closer to six months on heartworm. But if you could have one single product and you're getting compliance on both flea and both for six months, that's already a significant opportunity. As you look at heartworm, it's a deadly disease. The reality is animals should be on that, no question, for 12 months. They should also be on 12 months for flea and tick. Fleas don't generally take a vacation in the winter.

I think some people like, well, if I don't remember, I can just treat. That's not true with heartworm. So we think there's a significant opportunity to increase compliance of just even getting someone to using both for the six months and then expanding that and partnering with vets and with other companies to look at compliance. Some of the alternative channels in home delivery offer unique opportunities to really increase compliance in the space overall. And I think by putting it in one product, you make it easier for the customer to do it. So we think there is a significant opportunity to increase compliance by using customers, making sure they've got coverage of all three and then increasing the total number of months that they're using the product. So by making it easier, we think that is a big opportunity for us.

Chris Schott*Analyst, JPMorgan Securities LLC*

And in terms of the share, the opportunity to gain share, do you see this largely taking share within the existing oral category? Is it just take share from everywhere? I'm just trying to get a sense of kind of oral versus topical versus collar as where do you see an opportunity...

Kristin C. Peck

Chief Executive Officer, Zoetis, Inc.

I think it's going to take share across.

A

Chris Schott

Analyst, JPMorgan Securities LLC

Okay.

Q

Kristin C. Peck

Chief Executive Officer, Zoetis, Inc.

So I think right now, people who might have only been buying OTC but they had to buy multiple products, when they go to the vet next time, the vet's going to raise, by the way, do you know there's an opportunity to only take one pill. So we think it's going to take a little bit from each. We think it's a unique opportunity that hasn't been offered in the market. And as you look at the top unmet medical needs that vets have been speaking about and the biggest frustration for pet owners, it's like which day do I give, which – I mean, it's just complicated. It makes their life hard. So I think there's a real opportunity to take from different parts of the market overall.

A

Chris Schott

Analyst, JPMorgan Securities LLC

Great.

Q

Q

On digital, data analytics and the precision livestock side, how much of a real business do you expect that to be in terms of ability to monetize over the next several years or is this more about creating greater stickiness with that large animal [ph] veterinarian (00:15:47)?

Kristin C. Peck

Chief Executive Officer, Zoetis, Inc.

Sure. This is a revenue generating business. We are selling it. There's different business models and different geographies that we do, so some will pay the upfront implementation costs and then how small per animal, some will just pay per animal and amortize that across. It is a very sticky product that is for sure. It is revenue generating. We already are in the market and have a significant commercial business in international.

A

We are new to the US. It's a very different business in the US with much larger farms, so the digital data needs, the servers, et cetera, are a little more complex in the US. But we think this is a significant revenue generating business. We think it's going to scale slowly and then ramp quickly, because once you have the installed base, it's pretty sticky. No one's going to want to re-implement a system in there – there's wall points, every animal's tagged, it integrates into your systems.

Once you implement – or say, it scales slowly, but once you get there, it ramps quickly. And it's very sticky, no one's – once you pick a solution to work with your herd and integrate it into all of your operating systems, it is very sticky. We think this is the future of where consumers want to go, individualized animal care. We also think it's where vets and producers want. It's the best care for each animal. It also addresses some of the labor challenges they have by being able to better identify an animal sooner that needs treatment, not as dependent on labor that may or may not detect the animal that's sick. And ours also has localization, so we can tell you exactly where that

animal is. So, it really does have a unique value proposition that customers are willing to pay for. And once we install the system, will be very sticky.

Chris Schott

Analyst, JPMorgan Securities LLC

Q

Can I just ask on just the Cytoint and Apoquel? Ex-US, some of your larger markets, just where are we in terms of the penetration there and how much more runway do we have for growth in that part of the business?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yeah. So, we think there's significant growth in the international markets for both Apoquel and Cytoint. When you look at international versus US, the number of medicalized dogs is pretty much the same, the number of itchy dogs is pretty much the same. Yet, when you look at the level of revenue between US and international, we're significantly weighted towards the US. And the main reason for that is, we're able to do direct to consumer advertising within the US to raise disease awareness.

Chris Schott

Analyst, JPMorgan Securities LLC

Q

Okay.

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

So, outside of the US in the majority of the market, you cannot do direct to consumer advertising. So, it's a little bit of a slower build using our field force, but we believe, over time, we will get to similar levels of penetration and share in the international markets that we do have in the US. We do think there's significant opportunity internationally and we also think there is continued opportunity for growth within the US by continuing to expand the market and also drive incremental volume and price.

Chris Schott

Analyst, JPMorgan Securities LLC

Q

Okay, great.

Q

[indiscernible] (00:18:26-00:18:46).

Kristin C. Peck

Chief Executive Officer, Zoetis, Inc.

A

Sure. I think one of the main differences between animal health and human health is we sell direct to our customers. There's no third party payer. And maybe an interesting proxy would be almost like consumer health, you still buy Advil and Tylenol. And the reason is the brands matter. We invest in helping support those customers and we invest in lifecycle innovation. So, many people are saying, wow, you're going to see the loss of exclusivity on Revolution. But then we launched Revolution Plus. We migrated most of our customers there, so continuing to invest in life cycle innovation where there's a greater opportunity in animal health and in human health to do that.

You can get additional indications, you can improve a formulation, you can make it chewable, you can do lots of things that allow customers to get excited and they're willing to pay for that either – maybe it's to maintain price in the face of competition, maybe it allows you to increase price. But if you look at our history, I don't think the future is going to be that much different. You still have to be able to reach our customers with a direct field force because that is the industry that we're in.

So, in animal health, generally, you lose between 20% and 40% over time, so over a few years. And our ability to make it less and/or closer to 20% or closer to 40% has to do with the level of lifecycle innovation we continue to put against those products, as well as the strength of our total portfolio. Your total sales of this help you get better pricing across our portfolio. So, we think we have multiple ways of continuing over time to ensure, through lifecycle innovation, other mechanisms that it's about a 20% to 40% hit over a number of years.

Chris Schott

Analyst, JPMorgan Securities LLC

Q

Can you help frame the opportunity for pain as we think about that portfolio launching over the next few years?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yeah. So, when you look at the overall pain market, really the only market that exists today was within dogs. I mean, we look at that market, it's about a \$400 million market globally. However, we think by bringing significant innovation into the market, we could expand that market. So, we see a significant potential for pain within dogs.

Within feline, there is no existing marketplace. We know that there's less medicalized cats, so we'd expect the overall market to be somewhat smaller than dogs. But, again, we have experience building markets. If you go back a number of years and look at the dermatology market, it's nowhere near the size that it is today. So, we do believe bringing significant innovation into those markets will grow them significantly.

Chris Schott

Analyst, JPMorgan Securities LLC

Q

Okay, great. Just another one on, I guess, the innovation side, you mentioned the acceleration earlier of livestock. What are you – is there anything you're particularly excited about or focused on in terms of where we can bring innovation into the livestock part of the market?

Kristin C. Peck

Chief Executive Officer, Zoetis, Inc.

A

Sure. There's a few areas. The first is precision livestock farming...

Chris Schott

Analyst, JPMorgan Securities LLC

Q

Yes.

Kristin C. Peck

Chief Executive Officer, Zoetis, Inc.

A

...which I think we've talked a lot about today.

Chris Schott

Analyst, JPMorgan Securities LLC

Yes. Yes. Yes.

Q

Kristin C. Peck

Chief Executive Officer, Zoetis, Inc.

Second would be moving diagnostics into livestock.

A

Chris Schott

Analyst, JPMorgan Securities LLC

Okay.

Q

Kristin C. Peck

Chief Executive Officer, Zoetis, Inc.

So more chute-side, barn-side diagnostics, we see as a significant opportunity. We also see an opportunity to take some of the technologies that we've been leveraging in companion animal and applying them there around monoclonal antibodies, protein and immuno therapeutics, moving that into the space as well. And that's where we've announced some other recent collaborations such as with Colorado State to look at alternatives to antibiotics, some immunotherapies. So we see a number of these key modalities as being significant growth drivers across livestock.

A

Chris Schott

Analyst, JPMorgan Securities LLC

Thanks. Is there a question?

Q

Yeah. Thank you. The path to market has changed faster than probably most people expected. If you go back a couple of years ago, what do you think you would have done different to kind of anticipate and get ahead of that now? [indiscernible] (00:22:18).

Q

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

So I think the question is around the path to market on the companion animal side. And I assume you're talking about the alternative channels and how those have evolved over time.

A

Kristin C. Peck

Chief Executive Officer, Zoetis, Inc.

Sure. So as you look at the alternative channels, everyone was sort of expecting it to move a while ago, and it was slow and then it was very, very fast. And to be honest, I think it moved faster than most people expected. It was important to us since 90-plus-percent of what we sell requires a prescription that we be close to the vet as we made that transition. The reality is the vet knows the pet owner is now decided that it wants to be able to buy their product from multiple channels. And so our focus as we looked into 2019 was to be ensuring the pet owner could get that product, but we also maintain protection for the vet.

A

For us at Zoetis since we weren't historically selling to some of those channels, they were buying our product in the gray market and selling it at cost which was making our vets pretty angry. I'm not sure moving faster would have been good for us with vets. The vets have punished those that moved to the OTC channel too soon, as you probably know. Once we made the decision, it did take a while to cut an agreement with every major online retailer and retailer like Walmart, etcetera, so that did take some time, but we're very pleased with the implementation of our minimum advertised price policy in the US. We currently are selling to all online channels as well as to box retailers and retail channel. So I think it's going as we expected.

And right now, it still remains a pretty small portion of our business to be honest. So as you look at what we sell in companion animal, 60% of our portfolio will always remain with the vet. It's injectables. It's vaccines. It's surgical. It's acute. So 40% could move. Currently, those channels for most major companies are still pretty small, but it's accelerating very quickly. And so building a capability and doing that well has been a big focus of ours over the last year, investing in people with strong expertise in the retail channel has been something we've invested a lot in over the last few months.

Chris Schott

Analyst, JPMorgan Securities LLC

Well, I think we're out of time. But I appreciate the time.

Kristin C. Peck

Chief Executive Officer, Zoetis, Inc.

Thank you.

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

Thank you.

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